Indigenous bankers, Money lenders, Chit funds and Nidhi companies

1. Manusmriti, the ancient legal text reveals that different rates of interest existed during 2nd century BCE. Certain community based businessmen provided loans for interest in different parts of India. Today any individual as well as institution lend money in rural, and urban areas. *All of them are called indigenous bankers and money lenders*. They are not bankers at all. The report of the study group of RBI released in 2002 concludes that the loans from money lenders constitute 25.7 percent of the loans of farming household at all India level and 53.4 percent at Tamil Nadu level. The reasons for their indispensable existence are: a. They disburse loan at doorstep at any time of the day with or without security. b. They provide the required amount and at the required time. c. Very less documentation and procedures. d. Banks are not willing to advance loans to farmers or labourers with less income levels.

   Many lenders charge exorbitant rates as high as 20 percent per day. (1216 percent per annum). It is called 'kandhuvatti" or 'flight vatti" in Tamil. Such money lenders exist in other states of India and other countries also. The Usurious Loans Act 1918 of the Government of India and the Tamil Nadu Prohibition of Charging Exorbitant Interest Act 2003 prohibit charging such interest rates.
2. Under Tamil Nadu *Money Lenders Act*, 1957 license is issued by Tahsildars for money lending business. Pawn brokers obtain license under Tamil Nadu Pawn Brokers Act, 1943.
3. *Chit Fund* Act 1982 is applicable to chit funds (a type of savings scheme) throughout India. They are regulated by State Governments and not by the RBI.
4. *Nidhi Companies* promote thrift and savings habit among members and they are registered under Companies Act, 2013. Only Nidhi companies fulfilling certain norms are registered and regulated by the RBI. Others not regulated.

All the above are not banks recognized by the RBI as such and do not come under strict controls of the RBI.

services to small businesses, low-income households, and migrant labourers. These banks should be fully networked from the beginning. They offer doorstep banking payment for a small fees prescribed on the basis of the amount. They issue ATM/ debit cards, internet banking and third party fund transfers. They can't lend money and issue credit cards. In August 2015, the RBI gave 'in principle' licenses to Payment Banks.

Examples:

i. Airtel Payment Bank Limited
ii. Paytm Payment Bank Limited and
iii. India Post Payment Bank Limited - IPPBs (Public Sector Bank).

11. Multilateral Development Banks - MDBs

A Multilateral Development Bank is formed by the Governments of a group of countries.

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